

Greenblatt, in coordination with Goldstein and a team of 10 research analysts, found himself once again managing investor money based on the same core principles. This time, however, the trading was based on a diversified, systematic methodology instead of the original approach, which yielded a concentrated portfolio of value and special situation stocks.

Greenblatt and his team at Gotham next applied the systematic value approach to the task of constructing value-weighted indexes, which appeared to substantially outperform all existing types of equity indexes. Gotham has launched several funds and separately traded managed accounts trading these new generation value-weighted indexes, in both U.S. equities and international equities, with the funds segmented by cap size. The funds trading these new generation indexes provide mutual fund and institutional equity index investors with a seemingly much better investment alternative. This new investment vehicle is the big secret in Greenblatt's third book, *The Big Secret for the Small Investor*. Greenblatt believes that it's just a matter of time before other mutual funds begin copying this innovative approach, but that Gotham's proprietary research capabilities and process should continue to provide superior performance versus competitors.



When you were young, did you have any idea what you wanted to do with your life?

Probably not. I had a better idea of what I didn't want to do. I got an MBA, and then went to law school, primarily because I didn't want to get an investment banking job working 90 to a 100 hours a week. But I dropped out after one year when I realized I had no interest in being a lawyer.

What got you interested in the stock market?

In my junior year in college, I read an article in *Forbes* about Ben Graham. A lightbulb went off, and I started reading everything I could find on Ben Graham. In college, we were taught the efficient market hypothesis, which wasn't very appealing to me. The theory didn't coincide logically with what I saw going on in the market. There were lots of stocks that doubled or halved during the course of one year. The